

Trade Operations Sample Manual

1. Trade Lifecycle

An exchange traded derivative (ETD) trade follows the stages of trade execution, validation, matching, clearing, settlement, and reporting. Each stage must complete successfully before the next stage begins.

2. Give-Up Trades

A give-up trade occurs when the executing broker transfers the trade to another clearing broker. Operations teams verify account details, clearing instructions, and exchange acceptance before completion.

3. Trade Breaks

Common trade breaks include quantity mismatches, price differences, account mapping errors, missing allocations, and late trade submissions. Analysts investigate the root cause and coordinate with counterparties.

4. Clearing

After validation, eligible trades are submitted to the clearing house. The clearing house becomes the central counterparty, reducing counterparty risk and ensuring settlement obligations are met.

5. Settlement

Settlement confirms the final exchange of cash and positions. Failed settlements should be investigated immediately and escalated according to operational procedures.

6. Frequently Asked Questions

Q: What is a give-up trade? A: A trade executed by one broker and cleared by another. Q: What causes a trade break? A: Data mismatches, missing allocations, incorrect account details, or timing issues.